

Insurance Company - Technical Provisions

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Application

1.1

Unless otherwise stated, this Part applies to:

1. (1) a _non-directive insurer_ , other than a _non-directive friendly society_ ; and
2. (2) subject to 1.2, a _Swiss general insurer_.

1.2

This Part only applies to a _Swiss general insurer_ in respect of the activities of the _firm_ carried on from a _branch_ in the _UK_.

1.3

This Part applies to a _firm_ in relation to the whole of its business, except where a particular provision provides for a narrower scope.

1.4

Where a _firm_ carries on both _long-term insurance business_ and _general insurance business_ , this Part applies separately to each type of business.

2

Establishing Technical Provisions

2.1

For _general insurance business_ , a _firm_ must establish adequate _technical provisions_ in accordance with Insurance Company ? Overall Resources and Valuation 3.1.

2.2

For _long-term insurance business_ , a _firm_ must establish adequate _technical provisions_ in respect of its _contracts of long-term insurance_ as follows:

1. (1) for liabilities in respect of such contracts that have fallen due, in accordance with Insurance Company ? Overall Resources and Valuation 3.1;
2. (2) otherwise, _mathematical reserves_ in accordance with the Insurance Company ? Mathematical Reserves Part of the _PRA_ Rulebook and with due regard to generally accepted actuarial practice.

3

Risk Transfer Principle

3.1

A _firm_ may only take credit for _reinsurance_ (including all contracts of _reinsurance_ with an _ISPV_ and _analogous non-reinsurance financing agreements_) if and to the extent that there has been an effective transfer of risk from the _firm_ to a third party that is effective in all circumstances in which the _firm_ may wish to rely upon the transfer.

4

Assets of a Value Sufficient to Cover Technical Provisions and Other Liabilities

4.1

Subject to 4.3, a _firm_ (other than a _composite firm_) must hold _admissible assets_ of a value at least equal to the amount of:

1. (1) the _technical provisions_ that it is required to establish under:

1. (a) 2.1; or

2. (b) 2.2; and

2. (2) its other:

1. (a) _general insurance liabilities_ ; or

2. (b) _long-term insurance liabilities_.

4.2

Subject to 4.3, a _composite firm_ must ensure that it holds;

1. (1) _admissible assets_ separately identified in accordance with Insurance Company ? Internal Contagion Risk 4.1 of a value at least equal to 4.1(1)(a) and 4.1(a))(2)(a); and

2. (2) other _admissible assets_ (other than those excluded under 4.3) of a value at least equal to 4.1(b))(1)(b) and 4.1(b))(2)(b).

4.3

For the purposes of 4.1 and 4.2, a _firm_ (other than a _pure reinsurer_) must exclude _property-linked liabilities_ and _index-linked liabilities_ and the assets held to cover them under Insurance Company ? Risk Management 4.

4.4

For the purpose of determining the value of assets available to meet _technical provisions_ and other _long-term insurance liabilities_ in accordance with 4.1, 4.2 and Non-Solvency II Firms - With-Profits 2.1, to the extent already offset in the calculation of _technical provisions_ , no value is to be attributed to:

1. (1) debts owed by _reinsurers_ ;

2. (2) a claim under a _contract of insurance_ ;

3. (3) tax recoveries; or

4. (4) claims against _compensation funds_.

5

Localisation

5.1

This Chapter does not apply:

1. (1) to a _Swiss general insurer_ ;
2. (2) in respect of debts owed by _reinsurers_ ;
3. (3) in respect of _insurance business_ carried on by a _UK firm_ outside the _UK_ ; or
4. (4) in respect of _general insurance business class_ groups 3 (Marine and transport) and 4 (Aviation) of Insurance Company ? Reporting 12.7.

5.2

In accordance with 5.3, a _firm_ must hold _admissible assets_ held pursuant to Insurance Company ? Risk Management 3.2:

1. (1) (where the _admissible assets_ cover _technical provisions_ in _UK_ sterling), in the _UK_ ; and
2. (2) (where the _admissible assets_ cover _technical provisions_ in any currency other than _UK_ sterling), in the _UK_ or in the country of that currency.

5.3

For the purposes of 5.2:

1. (1) a tangible asset is to be treated as held in the country or territory where it is situated;
2. (2) an _admissible asset_ consisting of a claim against a debtor is to be treated as held in any country or territory where it can be enforced by legal action;
3. (3) a _security_ which is _listed_ is to be treated as held in any country or territory where there is a _regulated market_ on which the _security_ is dealt; and
4. (4) a _security_ which is not _listed_ is to be treated as held in the country or territory in which the _issuer_ has its head office.

6

Matching of Assets and Liabilities

6.1

This Chapter does not apply:

1. (1) to a _pure reinsurer_ ; or
2. (2) in respect of assets held to cover _index-linked liabilities_ or _property-linked liabilities_ , except that, where the _linked long-term contract of insurance_ in question includes a guarantee of investment performance or some other guaranteed benefit, this Chapter will nevertheless apply to assets held to cover that guaranteed element.

6.2

Assets held by a _firm_ to cover its _technical provisions_ and other _long-term insurance liabilities_ or _general insurance liabilities_ must:

1. (1) have characteristics of safety, yield and marketability which are appropriate to the type of business carried on by the _firm_ ;

2. (2) be diversified and adequately spread; and
3. (3) in accordance with 6.3, be of a sufficient amount, and of an appropriate currency and term, to ensure that the cash inflows from those assets will meet the expected cash outflows from the _firm's_ insurance liabilities as they become due.

6.3

For the purpose of 6.2(3)), in determining expected cash outflows, a _firm_ must take into consideration any options which exist in the _firm's_ contracts of insurance_.

7

Premiums for New Business

7.1

A _firm_ must not enter into a _contract of long-term insurance_ unless it is satisfied on reasonable actuarial assumptions that:

1. (1) the _premiums_ receivable and the investment income expected to be earned from those _premiums_ ; and
2. (2) the _reinsurance_ arrangements made in respect of the risk or risks covered by that new contract;

are sufficient to enable it, when taken together with the _firm's_ other resources, to meet the requirements in 7.2.

7.2

The requirements referred to in 7.1 are, to:

1. (1) establish adequate _technical provisions_ as required by 2.2;
2. (2) hold _admissible assets_ of a value at least equal to the amount of the _technical provisions_ and other _long-term insurance liabilities_ as required by 4; and
3. (3) maintain adequate overall financial resources as required by Insurance Company - Overall Resources and Valuation 2.3.